20 Oct 2026 21:49:41 ET | 11 pages

Zoom Communications Inc (ZM.O)

Zoomtopia Features Unified Context Layer Vision And Accelerating Growth Targets

CITI'S TAKE

At Zoomtopia management emphasized their strategy of evolving from a communications platform to a "system of action" leveraging its unified context layer to turn conversations into actional workflows and drive higher customer value. The keynote reinforced management's view that differentiated AI outcomes require richer enterprise context, with new capabilities spanning enhanced meeting intelligence, knowledge capture, CX automation, and real-time assistance. At the investor session, management provided FY30 targets which calls for modest acceleration in total revenue growth of 6-8% and double-digit enterprise growth supported by greater visibility and the continuation of AI and CX growth drivers. Margin targets were raised vs. prior long-term guidance implying a steady ramp in GAAP profitability, while commentary on capital allocation implies strong returns. We came away positive on managements tone and updated views on capturing more business through AI enabled workflows outside of its core meetings platform. We reiterate our buy-rating on the stock.

Buy	
Price (20 Oct 26 16:00)	US$97.46
Target price	US$126.00
Expected share price return	29.3%
Expected dividend yield	0.0%
Expected total return	29.3%
Market Cap	US$28,437M

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Keynote focused on Enhanced Meetings, Knowledge Capture, and CX - During the keynote a major theme was improving the quality of the underlying data powering AI. This included clearer audio, more accurate transcripts, higher video/screen sharing frame rates, real-time voice capabilities. Zoom also introduced several new AI-powered productivity tools including a Live Assist meeting companion which will provide real-time coaching during meetings, helping users improve participation and communication effectiveness. Knowledge management was another key focus where enhancements to MyNotes will capture richer meeting context, including screens and chat content, while upcoming mobile capabilities will enable transcription of in-person conversations, even offline. For CX, Zoom showcased VA extensions into physical kiosks, automated workflow orchestration, and AI-driven CX insights. Underpinning the strategy is Zoom's open architecture approach, allowing customers to combine Zoom's contextual intelligence with third-party AI models. Management emphasized that robust governance remains critical, highlighting new controls around data access, content labeling, security, privacy, and AI guardrails designed for enterprise deployments.

Strategy Moves to System of Action - At the investor session, management outlined a vision to transform Zoom from a communications platform into a "system of action" where AI moves beyond capturing conversations to providing context and completing work. Central to this strategy is Zoom's new unified context layer, a common AI platform that spans meetings, phone, contact center (cc), sales, HR, and collaboration products. Management stated that ZM's differentiation comes from

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owning a large volume of business conversation data, enabling real-time intelligence during interactions rather than simply before or after them. For its next phase of growth Zoom will be focused on 1) infusing AI across its core communications portfolio 2) accelerating line-of-business applications such as CC, ZRA, Common Room, Workvivo, and BrightHire, 3) creating new AI monetization opportunities through products such as ZoomMate, My Notes, and headless AI services. Management emphasized that business context, trust, and openness are key competitive advantages, while highlighting growing momentum in newer businesses including Zoom's sales and CX offerings that continue to gain industry recognition and displace legacy vendors.

FY30 Targets Call for Acceleration in Growth - The company also unveiled its first long-term revenue framework which under stable macro conditions targets FY30 revenue growth accelerating to 6-8%, enterprise growth moving to double digits while online is expected to remain flat. The company expects to keep the same framework on profitability, targeting NG gross margins of ~80% and NG operating margins of ~40%, but with significant improvement in GAAP profitability (28-30% vs. 23% in FY26). Several new operational metrics supported the outlook including customers adopting AI features exhibit 70% lower churn, customers using three or more products experience 43% lower dollar churn, and MyNotes users churn less than half the rate of non-users. In ZCC, AI-enabled SKUs represent more than 60% of the business and are growing at mid-100% rates, while upgrades to Elite generate a 122% realized uplift and adding ZVA realized ~40% uplift. Management also stated that a third of phone deals are net-new customers to Zoom giving them a strong avenue for expansion.

Zoom Communications Inc

Valuation

We calculate our one-year target price of $126/share by giving EV/revenue implied enterprise value 50% weight and EV/FCFF implied enterprise value 50% weight. We derive our valuation multiples by mapping ZM's future revenue growth and operating margin against the current best-fit regression. For the EV/revenue portion, we apply 5.7x multiple on our FY28 revenue estimate of $5.7B. For the EV/FCFF portion, we apply 16x multiple to our FY28 FCFF estimate of $1.95B. This results in a blended future EV of $30B and future equity value of $39.5B. We discount the future equity value per share to arrive at a 12-month forward target price of $126.

Risks

Key downside risks to achieving our rating and target price include: 1) slower adoption of emerging products (CCaaS, Workvivo, AI, etc.) on the enterprise level; 2) conversion of online customers from free-to-paid takes longer than expected; 3) reinvestments into the business do not accelerate growth and hurts margins in the long term; and 4) increasing competition from MSFT and price pressure.

Key upside risks to achieving our rating and target price include: 1) stronger UCaaS/CCaaS offering and success displacing incumbents with emerging products (CCaaS, Workvivo, AI, etc.) in mid-market and enterprise level. 2) Online customer revenue starts to accelerate, transitioning more free-to-paid customers in a shorter time period; 3) ability to reinvest in the business without harming margins and accelerate growth back to HSD+.

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Appendix A-1

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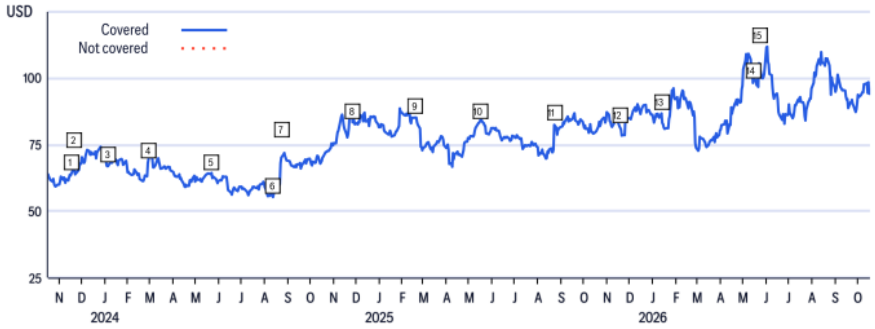
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Zoom Communications Inc (ZM)

Ratings and Target Price History
Fundamental Research

Analyst: Tyler Radke



	Date	Rating	Target Price	Closing Price
1	17-Nov-23 03:15:04	*2H	66.00	64.12
2	21-Nov-23 02:33:15	2H	*67.00	65.94
3	04-Jan-24 09:49:02	2H	*70.00	66.90
4	27-Feb-24 10:50:43	2H	*76.00	68.17
5	21-May-24 02:05:49	2H	*77.00	63.86
6	12-Aug-24 19:04:44	2H	*67.00	55.32
7	23-Aug-24 09:43:48	2H	*69.00	70.14
8	26-Nov-24 10:49:24	2H	*86.00	83.41
9	18-Feb-25 04:13:23	2H	*85.00	85.20
10	14-May-25 16:00:00	2H	*84.00	83.27
11	22-Aug-25 10:30:30	2H	*85.00	82.47
12	17-Nov-25 00:43:15	2H	*94.00	81.86
13	12-Jan-26 07:32:14	*1	*106.00	86.75
14	14-May-26 16:05:00	1	*122.00	98.23
15	22-May-26 16:05:05	1	*126.00	105.64

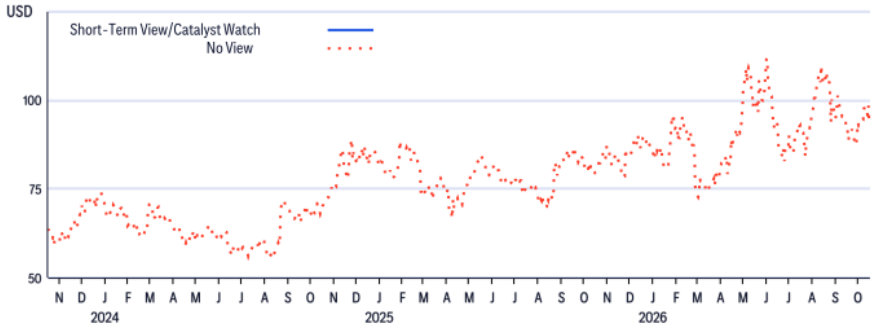
*Indicates Change

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Zoom Communications Inc (ZM)

Short-Term View/Catalyst Watch Research

Analyst: Tyler Radke



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